

The "Great Depression," the People's Bank, and Jacksonian Fiscal Populism in North Carolina, 1819—1833

Author(s): Robert Richard

Source: *Tennessee Historical Quarterly*, FALL 2017, Vol. 76, No. 3 (FALL 2017), pp. 240-257

Published by: Tennessee Historical Society

Stable URL: https://www.jstor.org/stable/10.2307/26540291

REFERENCES
Linked references are available on JSTOR for this article:
https://www.jstor.org/stable/10.2307/26540291?seq=1&cid=pdf-reference#references_tab_contents
You may need to log in to JSTOR to access the linked references.

JSTOR is a not-for-profit service that helps scholars, researchers, and students discover, use, and build upon a wide range of content in a trusted digital archive. We use information technology and tools to increase productivity and facilitate new forms of scholarship. For more information about JSTOR, please contact support@jstor.org.

Your use of the JSTOR archive indicates your acceptance of the Terms & Conditions of Use, available at https://about.jstor.org/terms



Tennessee Historical Society is collaborating with JSTOR to digitize, preserve and extend access to *Tennessee Historical Quarterly*

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

The "Great Depression," the People's Bank, and Jacksonian Fiscal Populism in North Carolina, 1819—1833

BY Robert Richard

Passing through rural Chatham County, North Carolina, in the early summer of 1820, the former Federalist editor and cotton planter William Boylan found himself in a public dispute with an obscure candidate for local office named "Luther." Boylan overheard Luther speaking to a crowd about the misconduct of the state's three chartered banks on account of their suspension of specie payments during the Panic of 1819. As president of one of those banks, Boylan took the charge personally. He reminded Luther that "it was easy to find fault with measures—but not so easy to remedy them—and if he got Elected, what was his plan to relieve the people?" Luther "confessed he had none," but then the candidate "said something of the aristocracy of the Directors & Stockholders" while refusing to "explain what he meant by the expression." Clearly annoyed by this response, Boylan launched into a technical discourse on banking, finally assuring Luther and his audience that "the Banks were just as bad off as the people… and until the people could pay the Banks, the latter could not pay specie or loan any more money." In other words, the well-heeled planter defended the *banks* by accusing the *people*, and he ignored Luther's vague but genuine contempt for a corporate "aristocracy." Predictably, he failed to make a favorable impression on the farmers of Chatham County, and Luther complained afterward that Boylan "had not treated him politely by exposing him before the people."[1]

Based on this brief encounter, most historians would place Luther within an agrarian, Jeffersonian/Jacksonian tradition fiercely opposed to banks, internal improvements, and other trappings of the market revolution so well personified by William Boylan. But what if Luther's loathing for the bank "aristocracy" actually steered him down the same path as the Reverend Josiah Crudup, another political aspirant from nearby Wake County? Boylan criticized Crudup in the same letter in which he lambasted Luther, noting contemptuously to a fellow bank director that Crudup hoped "to obtain a popularity on the subject of the Banks" while running for a seat in the state Senate. Unlike his naïve counterpart Luther, the shrewd reverend had a real

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms



In North Carolina, the crusade for a People's Bank began in 1820. The movement over the next decade reflected the rise of Jacksonian fiscal populism as a political force to be reckoned with. (Benjamin Latrobe drawing, 2nd Bank of the United States, Library of Congress)

strategy for mitigating the economic crisis. Crudup initially toyed with "several very silly plans," Boylan sneered to his correspondent, but "now he propose[d] to take from the State Bank, the state's portion of capital & establish with it a new Bank & then loan it out to the people." In the years ahead, the Reverend Crudup's incipient proposal for a state-owned bank with populist principles would catch fire among farmers, laborers, and small planters throughout North Carolina. Boylan instinctively dismissed this scheme as one of "the miserable and silly expedients of these jacobins"—but the conservative banker sorely miscalculated. Josiah Crudup won his state senate election with 62% of the vote, and the following summer he was elected by a decisive majority to the U.S. House of Representatives. In hindsight, the evident popularity of Crudup's radical platform marks the beginning of a new movement in North Carolina politics and the rise of a complex national phenomenon best described as Jacksonian fiscal populism.[2]

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

Historians now readily acknowledge the myth of *laissez faire* in the early American republic. Thanks to a host of recent scholarship, we know that Americans of all political stripes engaged in public or public-private ventures to fulfill vital economic needs, even before the ratification of the U.S. Constitution. Yet the history of the Old South in the early nineteenth century—North Carolina especially—remains stubbornly resistant to such insights, perhaps owing to the outsized legacy of "Old Republicans" like Nathanial Macon, John Randolph, and William Crawford for Southern political economy. In his excellent account of early national internal improvements, for example, John Larson emphasizes the "libertarian malaise" and "habitual suspicion of public officials and government programs that marked North Carolina's libertarian political culture" as late as the 1830s. Economic historian Clyde Haulman similarly concludes that popular "interest in an interventionist role for state and local government declined" after the Panic of 1819 in neighboring Virginia, though it was never very robust to begin with. These scholars essentially maintain that, even as New Yorkers built the Erie Canal (completed in 1825) and state officials elsewhere practiced what Robert Wiebe once called the "politics of development," the Old South remained economically hamstrung by its rigid ideological commitment to *laissez faire*. As Harry Watson illustrates elsewhere in this volume, such an historical interpretation is well grounded in the Jacksonian rhetoric of (white) liberty and small government that pervaded this era. Ironically, the trend towards egalitarianism assumed quite a different form in the state that included a portion of the Waxhaws, the district of Old Hickory's birth.[3]

For a variety of reasons both foreign and domestic, North Carolinians endured over a decade of exceptionally poor economic conditions following the Panic of 1819. The value of land and agricultural exports steadily declined, while the state's financial system remained hopelessly broken as late as 1833. From highs in the late 1810s to lows in the early 1830s, the average county in North Carolina lost 43% of its property value, as estimated by the annual receipts of the state's *ad valorem* land tax for two decades after 1815. Between that year and 1833, the average value of land per acre statewide dropped from $2.69 to $2.27, a nearly 16% reduction. Total exports from North Carolina also declined precipitously from over $1.3 million in 1816 to merely $342,000 by 1832, despite an overall increase in agricultural output. Price deflation coincided with a dwindling supply of available currency, as the Second Bank of the United States under Nicholas Biddle pressured the state-chartered banks by demanding gold or silver in exchange for their notes. Thanks in part to Biddle's regulatory policies, the total paper-money circulation in North Carolina fell from almost $4 million in 1819 to just under $2.5 million by 1830—a whopping 38% decline in the money supply that exacted a heavy toll on commercial prospects across the state.[4]

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

Key proceedings in North Carolina during this unprecedented "period of great depression" (to borrow President James Monroe's phrase) reveal that people wanted *more* not less public intervention in the economy, both to alleviate their financial insecurity and to address the social inequality implied by Luther's corporate "aristocracy." Above all, the campaign for a state-owned bank, or a "People's Bank" as it became known, embodied a new politics of public finance that originated from and closely paralleled this extended economic crisis. Taking a more proactive approach to North Carolina's fiscal problems than their strictly libertarian, hard-money counterparts like Nathaniel Macon, rural critics such as Josiah Crudup (and possibly Luther) warmly endorsed the expansion of financial credit through paper money. At the same time, they rejected banks under private or even public-private ownership in favor of a commercial banking system operated exclusively by the state government for public benefit.[5]

Some scholars have identified the creation of state-owned banks after the Panic of 1819, particularly in Tennessee and Kentucky, as early examples of debtor relief, monetary expansion, and the republican "commonwealth ideal" in action. Yet these banks or "loan offices" effectively collapsed within a few years and lost their political credibility. They were immediate reactions to a short-term crisis—once the reverberations of the market crash subsided (the story goes), so did the apparent utility of state-owned banks. In North Carolina, however, the crusade for a People's Bank only *began* in 1820 and, much like the depression itself, did not culminate for another decade. Notwithstanding the state's cherished reputation for backwardness and libertarianism, persistent hard times incentivized rural North Carolinians to interpret the powers of government broadly for the reasonable promotion of economic growth. By the early 1830s, the principles of public ownership and oversight, deficit spending (for pump priming), and fair lending associated with the People's Bank had seeped into state infrastructure policy as well—namely railroads—with momentous consequences for future commercial expansion.[6]

Ironically, state officials in North Carolina achieved this basic developmental consensus just as political partisanship intensified under the influence of Andrew Jackson. This essay casts a much-needed spotlight on Jacksonian fiscal populism in the Old South by linking the economic depression and controversy over the People's Bank with Jackson's famous veto of the bill to re-charter the Second Bank of the United States (BUS) in 1832. Scholars usually portray the president's supporters during the "Bank War" as either hard-money zealots like Thomas Hart Benton or opportunistic state bankers like Roger Taney, but that contrast is much too simple. Conservative allies of the state-chartered banks in North Carolina strongly objected to Jackson's attacks against the BUS. Meanwhile, staunch Jacksonians at the federal level endorsed radical plans for a People's Bank to replace all the others in their state. They pri-

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms



The People's Bank and Jackson's famous veto of the re-charter of the Second Bank of the United States are linked. Both positions reflected a deep-seated hostility toward socioeconomic elites, as Jacksonian populists sought to undermine the Money Power. ("Old Jack" cartoon, with Jackson the cat killing corrupt banker rats, 1832, Library of Congress.)

oritized neither anti-bank nor hard-money principles, but rather a populist anti-establishment worldview exemplified by Luther and Josiah Crudup in the summer of 1820. Such men easily extended their support for the People's Bank to Jackson's BUS veto (if not necessarily his removal of deposits in 1833), for both positions reflected a deep-seated hostility toward socioeconomic elites provoked by the first "great depression" in North Carolina's history. These Jacksonian populists sought to undermine the Money Power by whatever means necessary, even if that meant actively wielding the fiscal powers of their elected government.[7]

Contrary to prevailing scholarship, the number of North Carolinians who fully embraced "hard money" and other *laissez-faire* views was rapidly diminishing by the end of the War of 1812. One notable holdout was the aging U.S. Senator Nathaniel Macon, whose political sway historians too frequently exaggerate. To be sure, Macon hated the very

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

idea of corporate finance and state-sponsored commercial development; but by the 1820s, the former Anti-Federalist was freely admitting that his opinions had "become too old fashioned for the present time; they are out of fashion and called, the old school." Indeed, the Panic of 1819 in North Carolina largely resulted from an untenable expansion of paper credit thanks to generous bank charters and liberal purchases of corporate stock by the state government—hardly indicative of an anti-bank, hard-money consensus. One legislator took direct aim at Macon in 1818 when he inquired: is anyone "so little versed in the actual state of things… as even to indulge a hope, much less a belief, that the circulating medium of the country can shortly or possibly be supplied by a restoration of the precious metals[?] If there be one, I can only assure him, that his hope is more than delusion." The financial crisis scarcely moderated this general acceptance of paper-money banking, for the total stock of specie in the United States plummeted by 40% between the War of 1812 and the mid-1820s. What was the alternative?[8]

What the Panic of 1819 did do, however, was expose the unequal relationships between North Carolinians and their three state-chartered banks: the Bank of Newbern, the Bank of Cape Fear, and the deceptively named State Bank of North Carolina. Although the government owned large quantities of stock in all three, these institutions were managed by boards of directors elected from among their private shareholders (the state treasurer also voted based on the government's shares). Lacking sufficient public oversight, bank directors—nearly all of whom were influential planters and merchants—slipped into a dangerous pattern of insider lending, accounting for roughly one-fourth of all North Carolina bank loans during this period. One bank president in the late 1820s noted candidly that the "Directors must obey the orders of the Stockholders. Many of these stockholders are themselves debtors. I am within bounds when I say, that a third of the debt due to each Bank is due from its own stockholders." In other words, the credit policies of the banks favored their stockholders—no surprise there—but because of rampant insider lending, these investors also became some of their banks' biggest debtors. In the event of a liquidity crisis like the Panic of 1819, whose interests would the banks prioritize: the general population circulating their banknotes in the usual course of business, or corporate stockholders demanding relief from heavy debt payments?[9]

Bank directors in North Carolina gave their answer when the BUS and other creditors came calling amid the national scramble for liquidity in the spring of 1819. Professing to avoid "the most ruinous sacrifices of property and universal distress" by suing their debtors for immediate repayment, the directors instead chose to "hazard the credit of their institution[s]" by suspending specie redemption for their banknotes and, in effect, undermining the state's circulating medium. When the notes of the three banks rapidly depreciated by as much as 15% in Petersburg, Virginia, and 17%

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

in Philadelphia after the specie suspension, indebted agriculturalists faced great difficulty paying their dues to out-of-state merchants. Many growers had received North Carolina banknotes in exchange for their crops at market, prompting one lawyer from rural Granville County, whose clients did regular business with Virginia merchants, to complain that the devaluation of such money "consequently fell upon the citizens thus circumscribed and they thereby placed in the power of merciless creditors."[10]

Perhaps Luther from Chatham County was among those "citizens thus circumscribed" in the summer of 1820—a farmer or small planter unable to pay his debts due to the depreciation of the local currency and lack of access to further credit. On the one hand, William Boylan promised Luther that "until the people could pay the Banks, the latter could not pay specie or loan any more money." Less than a year before, however, the banker was singing the opposite tune to his colleagues. We must "indulge our debtors with the interest only on [loan] renewals," Boylan informed one of his directors in mid-1819, for "the bold & desperate step of suspending partially specie payments, required that we should adopt such a step to sustain us in the public opinion." Obviously, Boylan did not embrace lowly individuals like Luther in his conception of the "public opinion"—he was appealing instead to his powerful, yet cash poor, stockholder-debtors. When it came to shaping bank policy, their financial interests superseded those of North Carolinians with fewer resources (in land or slaves), who increasingly depended on a stable circulating medium for their daily economic survival.[11]

Exposed by the Panic of 1819, the blatant favoritism in the chartered banks' operations caught the attention of Governor John Branch, who openly feared "a government of corporations instead of a government of the people." Branch sketched the painful and uneven results of the specie suspension to members of the state legislature in 1820: "The farmer must not only give up the profits of his farm, but the farm itself, to meet the demands of his creditors… but, by some species of legerdemain, incomprehensible to a plain man, some of the banks when hard pressed, instead of making the ordinary sacrifices to meet the demands of justice, indignantly close their vaults, and tell the holders of their notes with ineffable contempt" that they must decline specie payment. Branch especially decried the privileges of shareholders while everyone else suffered, like their exclusive right—thanks to Boylan's sensitivity to the "public opinion"—to renew accommodation loans without paying any of the principal debt. Do you see "the stockholder giving up his dividend to sustain the character of his bank, or making the ordinary sacrifices to procure the specie… to redeem his paper?" Branch asked the legislature. "*No*… on the contrary you find him securely entrenched behind his impregnable ramparts… and defying the storm which his own cupidity has contributed to excite."[12]

Here was the class-infused, anti-bank rhetoric on full display that would become

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

so pervasive in American politics during the Jacksonian era. Awakened by the financial crisis, the governor recognized that even a poor, predominantly rural state like North Carolina had entered a new age of corporate influence with updated political realities. Yet Branch offered no solutions to the fiscal quagmire. Instead, he leveraged his popularity for a seat in the U.S. Senate in 1822 and became an early supporter of Andrew Jackson's presidential ambitions. Jackson returned the favor by naming John Branch his first Secretary of the Navy in 1829.

If Governor Branch spoke for all the Luthers out there by effectively denouncing a corporate "aristocracy of the Directors & Stockholders," it was Robert Martin of Rockingham County who succeeded Josiah Crudup as the man with a plan. Vague, unsuccessful proposals emerged in the legislature as early as 1821 (Crudup was in Congress then), but by 1823 Martin became the leading advocate in North Carolina for a state-owned bank designed to give financial security back to "the people," that is. the farmers, laborers, and small planters who made up an overwhelming majority of the state's population. Although refusing to say so explicitly and risk being labeled an anti-bank hardliner, Martin plainly regarded the People's Bank as a wholesale replacement for the three privately-run banks—the foundation for an altogether new paper-money credit system. By the end of the decade, the radical prospect of the People's Bank, rather than John Branch's anti-bank polemics or the hard-money dreams of Nathaniel Macon, presented the gravest challenge to William Boylan and other conservative allies of the three state-chartered banks. It was never really a question of "banks or no banks" in North Carolina, but rather what kind of monetary and credit infrastructure best suited the commercial interests of the people amid ongoing hard times.[13]



The Panic of 1819 was both shocking and painful, but Robert Martin recommended the People's Bank in response to the much lengthier decline in prices and property values, as well as monetary instability and scarcity, that characterized North Carolina's "great depression" until the mid-1830s. Due to recurring specie suspensions, local banknotes continued to depreciate by as much as 12.5% in out-of-state money markets like Philadelphia. Furthermore, North Carolinians still had considerable debts to pay, either to merchants or the banks. By 1830, outstanding bank loans in the state amounted to about $5 million, only a mild improvement over the staggering $7 million in bank loans at the peak of the financial bubble in 1819. As the decade wore on, debtors had to contend not only with low market prices and the devaluation of paper money acquired through loans, but also an insufficient supply of credit or currency—specie, banknotes, any currency—with which to pay those loans off.[14]

From his seat in the House of Commons (the lower chamber of the state legisla-

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

ture) during the mid-1820s, Robert Martin hoped to address what he called the "present deranged state of our circulating medium" and convince the anti-bank followers of John Branch—if not Nathaniel Macon—to support his bill "establishing a Bank by which the State, and not a few monied individuals, would regulate [the] currency and reap the advantage from it." The capital of the People's Bank would consist of the entire property of the state government; its officers would be appointed by the legislature and subject to regular oversight and lending restrictions; its banknotes would be payable in specie and secured by the "faith of the State"; and, attempting to allay the concerns of some hard-money folks and fiscal conservatives, Martin even stipulated that "the debts which the corporation shall at any time owe… shall not exceed three times the amount of its specie capital." If accepted, this last clause would institute the first mandatory specie-reserve ratio in the history of North Carolina banking.[15]

In addition to stabilizing state monetary operations under the watchful care of public officials, Martin intended for the People's Bank to be an economic stimulus package providing relief from hard times. Crucially, the state treasurer would be authorized to issue up to $300,000 in government bonds (at 6% interest) with which to procure the bank's liquid capital. Its directors then could offer six-month loans to any citizen of North Carolina on landed security, not exceeding $2,000 per person. Finally, the overall distribution of such loans had to remain "in proportion to the relative amount of taxes paid into the Treasury from each county." Aside from the principles of public ownership and oversight, therefore, Martin imbued the People's Bank with governmental obligations of deficit spending and fair lending standards based on regional wealth. He clearly expected the bank to kindle economic activity not only within North Carolina's commercial centers and eastern plantation districts—whose more affluent residents would benefit from proportional lending requirements, as well—but also the vast undeveloped countryside in western parts of the state. Although "a great stumbling block with some members" of the legislature, Martin believed that borrowing money to cover public deficits on behalf of the People's Bank "would in such case, be good policy." As one sympathetic legislator framed the choice in 1823—in populist financial rhetoric that historians (like Harry Watson) more commonly associate with Jackson's Bank War of the 1830s—Martin's bank was one "in which the whole body of the people will have an interest… will it not be better to have a Bank of this kind, than [the] present institutions?"[16]

Unfortunately for Robert Martin and the People's Bank, the North Carolina legislature was hardly representative of "the whole body of the people." Harold Counihan has found that the average property ownership of state senators reached an incredible 1,589 acres and 14 slaves during the 1820s, while members of the House of Commons had nearly 682 acres and 8 slaves on average. By comparison, the average farm in North



This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms



Due to recurring specie suspensions, local banknotes depreciated. The proposed People's Bank notes would be payable in specie and secured by the "faith of the State." In "Specie Claws," 1838, the family of a tradesman, ruined by anti-bank policy, begs him for food. (Library of Congress)

Carolina was only 316 acres as late as 1860, and roughly 70% of white families owned no slaves at all. The eastern half of North Carolina, with its smaller counties, larger plantations, and heavier concentration of financial capital, also remained grossly over-represented in the legislature due to a county-based scheme of representation in the state's Revolutionary-era constitution. The population of western counties actually surpassed that of eastern counties by 1830, but owing to malapportionment, the 41% of voters in the East elected 58% of the state legislature. Finally, the original directorship of the State Bank of North Carolina reveals a striking pattern of plutocracy: approximately 46 out

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

of 94 founding directors, or just about half of them, held seats in the state legislature at one point or another. The bottom line for Robert Martin was that, even if a majority of North Carolinians supported the People's Bank, it would prove enormously difficult to overcome the opposition of influential eastern stockholders and their constitutionally-inflated mandate.[17]

Despite such obstacles—not to mention North Carolina's alleged "libertarian malaise"—the contest was rendered extremely close thanks to the democratic appeal of the People's Bank in a time of unprecedented economic hardship. Martin's bill lost in the House of Commons by a tight twenty-vote margin in 1823 (out of 122 votes total) and an even narrower nine-vote margin in 1824. In the next legislative session, Martin condemned the political firewall surrounding the three state-chartered banks, whose allies feared the potential competition and inflation resulting from the creation of the People's Bank. Echoing former Governor Branch's apprehension for "a government of corporations," Martin claimed that his bank "would be free from the objections urged against the present Banks, of using their influence improperly in elections." Such populist republican appeals were futile in the face of entrenched power, for Martin's bill again failed by a close margin of twenty-two votes in 1825.[18]



"There is no complaint so common, as that of times being hard," wrote one planter from western Burke County in 1828, for "the years 1819 & 1820 the toughest I have any recollection of, were good in N. Carolina compared with 1828. We have plenty to eat, but there is absolutely no money in circulation." Reflecting on the "hardness of the times" from Orange County in the Piedmont, another planter added that the "pressure upon the people seems to be greatest, when their ability to diminish it is least." That pressure, which stemmed from a toxic mixture of price deflation, money scarcity, banknote depreciation, and widespread indebtedness, finally reached a boiling point in early 1828, when five or six hundred residents of Granville County gathered at the courthouse to adopt "with the utmost satisfaction" a lengthy anti-bank report and set of resolutions by a committee of local dignitaries. After reviewing all the ways in which the three state-chartered banks had failed in meeting their obligations to the people of North Carolina, the committee concluded in ominous Jacksonian prose that "the banks have long fed upon the life blood of the country, and if a firm stand is not forthwith made against them, they will suck the very blood and marrow from the bones of the people." They resolved to "vote for such men only, as shall be pledged to bring the banks to a strict account"—and by the state elections that summer, the citizens of Granville had found their champion.[19]

Robert Potter was born in obscurity and spent six years as a midshipman in the U.S.

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

Navy before settling down to practice law in Granville in the early 1820s. He was a brawler by nature, challenging his opponent to a duel during an unsuccessful race for the House of Commons in 1824, then getting arrested for physically assaulting the same man in a rematch the following year. (In time, Potter would be arrested and briefly imprisoned for castrating two relatives, a minister included, whom he suspected of infidelity with his wife. But that is another story.). Potter was also deeply indebted to various creditors, whom he called "a legion of armed devils hot from the bowels of hell." In the spring of 1828, he placed his friend Congressman Willie Mangum in an awkward position when a tenacious creditor beseeched the congressman: "As I understand that Mr. Potter is not wealthy, I wish you to take the same course to obtain the [debt for $170], as you would if the note was yours." Potter still had not paid the debt when he ran again for the House of Commons that summer. Once in office, he thus had strong personal motivations for attacking the largest creditors in North Carolina, the three chartered banks, as well as a clear anti-bank mandate from his Granville constituents.[20]

Robert Potter's effort to prosecute the banks in 1828 is well known, and excerpts from his anti-bank report to the state legislature were reprinted at length by William Gouge in his famous hard-money treatise of 1833, *A Short History of Paper Money and Banking in the United States*. Because of the Gouge connection, perhaps, few historians have noticed (nor it seems did Gouge, who would not have approved!) that Potter initially tried to combine his takedown of the three state-chartered banks with their immediate substitution in the form of a People's Bank—in other words, Potter wanted to repeal and replace North Carolina's paper-money banking system, not relegate the state to some idyllic hard-money past. After seizing the assets of the chartered banks through legal prosecution, he then favored "handing over the proceeds to the officers of a new Bank of the State…, which should be authorised to borrow on the faith of the State such an amount in specie as may be necessary for conducting the operations of such Bank in a proper and efficient manner." Potter eventually withdrew his proposal for a People's Bank for parliamentary reasons, and after an epic debate featuring the great Federalist statesman and current president of the Bank of Newbern, William Gaston, Potter's anti-bank resolutions went down to defeat by the tie-breaking vote of the speaker of the House of Commons.[21]

In the aftermath of Potter's futile prosecution of the state-chartered banks, Robert Martin quickly resurrected his own favorite legislation from a new perch in the state Senate in 1829. Fair economic growth was at the top of Martin's priority list, but he also spoke of "higher considerations… than that of dollars and cents, or profit and loss"—namely, "that of rescuing the people from the clutches of a monied aristocracy." In his climactic defense of the People's Bank, Martin suggested that state governments themselves were "the only legitimate corporations in the

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

country." He contended that ceding monetary authority to privately-controlled banks through legislative charters brought unequal rewards and disastrous fiscal consequences, as evidenced by the Panic of 1819 and subsequent depression. Rather than endorsing a "visionary" hard-money economy, however, Martin believed that paper money and "Bank capital" were here to stay; yet the state government alone should manage them. William Gaston again made the conservative case for the existing banks, dismissing the People's Bank as "lately the fashion around us… adopted by the politicians who are eager in the race for popular favor."[22]

The combined force of Martin's argument, lingering disappointment over Potter's defeat, and poor economic conditions in 1829 were finally enough to secure victory for the People's Bank in the state Senate by an impressive eight-vote margin (out of 58 votes total). Shortly thereafter, the bill failed by just four votes in the House of Commons, where Gaston's eloquence and wealthy planters from small eastern counties predominated. The People's Bank would come before the North Carolina legislature annually for the next four years and pass the Senate twice more, but to no avail. Instead, Robert Martin's campaign directly influenced the charter for a new State Bank that passed both chambers of the legislature in 1833. Among other populist features, the government owned two-fifths of the new bank's stock and appointed four out of ten directors—not a fully state-owned bank, but a decent compromise nonetheless. The legacy of the People's Bank carried over into North Carolina's railroad policies, as well. From the mid-1830s to the Civil War, the state legislature provided hefty support to railroad corporations in the form of stock subscriptions and bond endorsements, and the government eventually appointed eight out of twelve directors of the celebrated North Carolina Railroad.[23]



Largely forgotten today, the People's Bank was the most important legislation never to become law in nineteenth-century North Carolina. While galvanizing a new politics of public finance that pushed the state in a decisively pro-developmental direction, the movement for a People's Bank also reflected the rise of Jacksonian fiscal populism as a political force to be reckoned with. Of course, Jackson himself endorsed the vague concept of a federal People's Bank in his first annual message to the Congress in 1829, in which he speculated "whether a national [bank], founded upon the credit of the Government and its revenues," ought to replace the BUS after its charter expired in 1836. Robert Martin alleged that Jackson's proposal was based "on similar principles to those embraced in [his] bill" for the People's Bank. Old Hickory quietly dropped this line of thinking in the years ahead, but his 1832 veto of the bill to re-charter the BUS satisfied the same anti-establishment antipathy for financial elites—the "monied aristocracy"—that had animated North Carolina politicians like Josiah Crudup, John Branch,

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

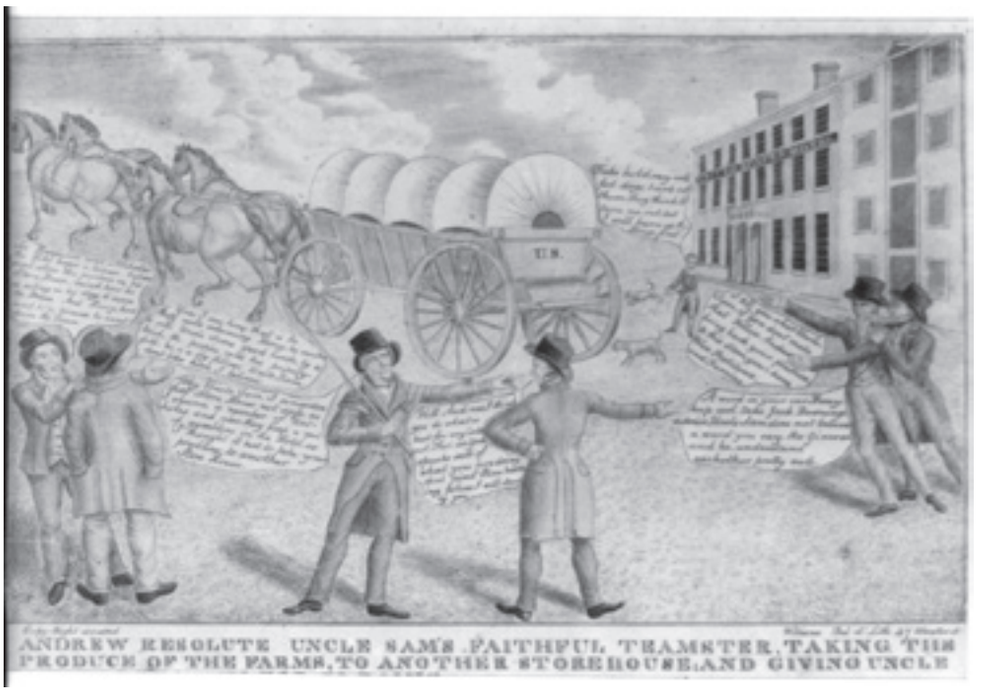
Robert Potter, and Robert Martin since the Panic of 1819.[24]

Like Crudup and Branch before him, Potter leveraged his local celebrity from attacking the state-chartered banks to attain higher office, becoming a member of the U.S. House of Representatives in 1829. The next year, he launched one of the first congressional attacks against the BUS, offering four brief resolutions condemning the institution, rejecting the renewal of its charter, and claiming that "the paper money or banking system, generally, is in its tendency ruinous to the interests of labor, and dangerous to the liberties of the people." Using standard hard-money rhetoric of the period, Potter was actually criticizing the anti-republican and discriminatory economic impact of the established banking system (headed by the BUS), not the propriety of paper-money banking itself. After Jackson delivered his BUS veto in the summer of 1832, the editor of the *North-Carolina Free Press* in Edgecombe County likewise reflected on the socioeconomic injustice underscored in the president's veto message. He reprinted the full text of the message over two issues, so that the general public might be educated about the "gross impositions which have been practised upon them not only by Banking Institutions, but by a combination of wealthy speculators and aspiring politicians… at the expense of the industrious and hardworking portion of the community." From the populist perspective of these North Carolinians, Jackson's Bank War was more about issues of class than currency.[25]

Old Hickory was a hugely popular figure throughout North Carolina—he never lost an election there, and only dropped one county in the 1832 contest—but his political support unquestionably originated in the same western, undeveloped, poorer parts of the state whose representatives tended to vote for the People's Bank. Josiah Crudup, for example, served as an elector on Jackson's first presidential ticket in 1824, and Robert Martin's Rockingham County always leaned heavily for Jackson. Historians have long attributed the general popularity of Jackson's BUS veto to North Carolina's anti-bank, hard-money culture (à la Nathaniel Macon), but like Robert Potter's prosecution of the banks in 1828, many North Carolinians probably accepted the president's veto as a vehicle—both symbolic and practical—for replacing the elite, privately-run banks with a radical, state-owned People's Bank.[26]

All that changed in 1833 when state officials reached a compromise over the banks and, simultaneously, Jackson decided to remove the federal deposits from the BUS. Scholars have not adequately accounted for the visceral reaction in North Carolina to Jackson's deposit removal, but they all agree that it led to the formation of the state's formidable, western-oriented, pro-developmental Whig Party. Indeed, numerous proponents of the People's Bank, including Robert Martin and Josiah Crudup, became loyal Whigs after 1833 along with many of Jackson's original supporters from the 1820s. With the People's Bank finally off the table a decade later, such men may have

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms



Many North Carolinians probably accepted Jackson's veto as a vehicle for replacing the elite, privately-run banks with a radical, state-owned People's Bank. But when Jackson decided to remove the federal deposits from the BUS in 1833, it led to the formation of the state's formidable Whig Party. (1834 cartoon, with Jackson's wagons taking deposits away, Library of Congress)

begun asking, like former Governor James Iredell, "where is the check upon the State Banks, if not to be found here [i.e. the BUS]! I mean not theoretically but practically?" Theoretically, Jackson's veto represented a smashing victory over the elitism and corruption of the financial establishment; practically, his removal of deposits only strengthened the economic stranglehold of conservative state bankers. Ironically, the Whig Party in North Carolina thus became the primary inheritor of Jacksonian fiscal populism, at least with regard to the People's Bank, as it emerged over the state's first "great depression."[27]

This narrative may seem unfamiliar, perhaps even contradictory, to historians' typical characterization of Jacksonian Democracy as either an anti-bank, hard-money response to the market revolution or an entrepreneurial efflorescence of contracts, banknotes, and free markets—or some combination of both. Many of Jackson's followers in the Old South hoped to harness the financial

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

powers of government to improve their desperate circumstances under the depression. They often rejected a *laissez-faire* approach, at least at the state level, as well as the prejudicial system of public-private banking that favored the interests of a "monied aristocracy" and produced the Panic of 1819 in the first place. As the Bank War dragged on during the 1830s, Whigs and Democrats alike embraced aspects of this populist economic movement. Whether through public oversight or public investment (or both), the relationship between the state and the banks grew ever closer in the generation preceding the Civil War.[28]

1. William Boylan to Duncan Cameron, June 30, 1820, Cameron Family Papers, Southern Historical Collection, University of North Carolina-Chapel Hill (SHC).

2. Ibid; "Elections: Josiah Crudup, 1791–1872," *A New Nation Votes*, last modified January 11, 2012, http://elections.lib.tufts.edu/catalog/CJ0586. For the Boylan-Luther confrontation writ large as a clash between capitalist and anti-capitalist forces, see Charles G. Sellers, T*he Market Revolution: Jacksonian America, 1815–1846* (New York: Oxford University Press, 1991).

3. John L. Larson, *Internal Improvement: National Public Works and the Promise of Popular Government in the Early United States* (Chapel Hill: University of North Carolina Press, 2001), 104; Clyde A. Haulman, *Virginia and the Panic of 1819: The First Great Depression and the Commonwealth* (London: Pickering & Chatto, 2008), 150; Robert H. Wiebe, *The Opening of American Society: From the Adoption of the Constitution to the Eve of Disunion* (New York: Alfred A. Knopf, 1984), 194. *See also* Norman K. Risjord, *The Old Republicans: Southern Conservatism in the Age of Jefferson* (New York: Columbia University Press, 1965). Two works challenging the myth of *laissez faire* are Brian Balogh, *A Government Out of Sight: The Mystery of National Authority in Nineteenth-Century America* (New York: Cambridge University Press, 2009); and Brian P. Murphy, *Building the Empire State: Political Economy in the Early Republic* (Philadelphia: University of Pennsylvania Press, 2015). The Waxhaws District straddled the North and South Carolina state line. Jackson claimed South Carolina as his birthplace, although his aunt recalled the birth as being in North Carolina.

4. These statistics are derived from ongoing dissertation research. Sources include: Treasurer's and Comptroller's Papers, Accounts, Comptroller's Statements, 1815–35, vols. 6–8, "A Statement of the Revenue of North Carolina" (Raleigh: North Carolina State Archives); *Report of the Select Committee Raised to Inquire Into the Amount of Dividends and Bonus Divided by the Banks of North Carolina, &c.* (Raleigh: Lawrence & Lemay, 1831); Timothy Pitkin, *A Statistical View of the Commerce of the United States of America*… (New Haven: Durrie and Peck, 1835), 50–67; *American State Papers*: Finance vol. 3: 293–6, 509–11, 568–9, 702–6; and vol. 5: 184–219, 322–57, 549–84, 903–38; Brantson B. Holder, "The Three Banks of the State of North Carolina, 1810–1872" (PhD diss., University of North Carolina at Chapel Hill, 1937), 174.

5. James Monroe, "Fourth Annual Message," November 14, 1820, Gerhard Peters and John T. Woolley, eds., *The American Presidency Project*, http://www.presidency.ucsb.edu/ws/?pid= 29462, accessed October 19, 2017.

6. For the creation of state-owned banks after the Panic of 1819, see Murray N. Rothbard, *The Panic of 1819: Reactions and Policies* (New York: Columbia University Press, 1962), 81–147; and J.M. Opal, "Natural Rights and National Greatness: Economic Ideology and Social Policy in the American States, 1780s–1820s," in Andrew Shankman, ed., *The World of the Revolutionary American Republic: Land, Labor, and the Conflict for a Continent* (New York: Routledge, 2014), 295–323. For the "commonwealth ideal," see Howard Bodenhorn, *State Banking in Early*

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

America: A New Economic History (New York: Oxford University Press, 2003), 219–48.

7. The political argument in this essay reflects the old but accurate "Jackson-Relief Hypothesis," as verified by Lynn L. Marshall in "The Genesis of Grass-roots Democracy in Kentucky," *Mid-America* 47 (1965): 269–287. For an account of the Bank War that overestimates the anti-bank influence of "hard money men," see Stephen Mihm, *A Nation of Counterfeiters: Capitalists, Con Men, and the Making of the United States* (Cambridge: Harvard University Press, 2007), 103–56.

8. Nathaniel Macon to Bartlett Yancey, December 12, 1823, in Kemp P. Battle, ed., *Letters of Nathaniel Macon to John R. Eaton and Bartlett Yancey*, James Sprunt Historical Monographs no. 2 (Chapel Hill: University Press, 1900), 67–8; "House of Commons, Debate on the Bank Bill," *Raleigh Register*, December 18, 1818; David A. Martin, "Bimetallism in the United States before 1850," *Journal of Political Economy* 76, no. 3 (1968): 428–42. The significance of Macon and hard money is propagated in older scholarship like Hugh T. Lefler and Albert R. Newsome, *The History of a Southern State: North Carolina*, 3rd ed. (Chapel Hill: UNC Press, 1973), 326, 339; and, more subtly, in Thomas E. Jeffrey, *State Parties and National Politics: North Carolina, 1815–1861* (Athens: University of Georgia Press, 1989).

9. *Debate on the Bill Directing a Prosecution Against the Several Banks of the State, and to Restore and Preserve the Character of the Circulating Medium… From December 29th, 1828, to January 6th, 1829* (Raleigh: J. Gales & Son, 1829), 28; Holder, "The Three Banks of the State of North Carolina," 122–5. *See also* Naomi R. Lamoreaux, *Insider Lending: Banks, Personal Connections, and Economic Development in Industrial New England* (New York: Cambridge University Press, 1994).

10. "Report of the Bank Committee," North Carolina General Assembly, *Journal of the Senate* (Raleigh: State Printer, 1819), 121–2, in William S. Jenkins, ed., *Records of the States of the United States of America: A Microfilm Compilation* (Washington: Library of Congress, 1949); John J. Inge to Bartlett Yancey, November 24, 1819, in J. G. de Roulhac Hamilton and Henry M. Wagstaff, eds., *Letters to Bartlett Yancey*, James Sprunt Historical Publications 10, no. 2 (Chapel Hill: University Press, 1911), 25–6; Robert Walker to Duncan Cameron, July 19, 1819, Cameron Family Papers, SHC; Holder, "The Three Banks of the State of North Carolina," 135.

11. William Boylan to Duncan Cameron, June 27, 1819, Cameron Family Papers, SHC.

12. "Governor's Message," North Carolina General Assembly, *Journal of the House of Commons* (1819), 8–9; and ibid, (1820), 5–8, in Jenkins, ed., *Records of the States of the United States of America*.

13. For the earliest proposals for a state-owned bank, see the *Raleigh Register*, January 4 and December 20, 1822. As late as 1860, there were only 4,065 planters in North Carolina (those owning 20 or more slaves each), compared to 87,025 farmers, 63,481 laborers, and 30,593 small planters. *See* Lefler and Newsome, *The History of a Southern State: North Carolina*, 420.

14. See endtnote #4; also, "Our Currency" in the *Raleigh Register*, December 12, 1828.

15. "House of Commons, [Bank Debate]," *Raleigh Register*, December 19, 1823. The only surviving copy of Martin's bank bill is the 1829 version, which was printed along with the relevant legislative debates in a pamphlet titled, *Debate on the Bill for Establishing a Bank of the State, in the Senate and House of Commons of North-Carolina, in December, 1829* (Raleigh: J. Gales & Son, 1830).

16. Ibid; "Debate, On the Bill proposing the establishment of a Bank, on the Funds of the State," *Raleigh Register*, December 16, 1825.

17. Harold J. Counihan, "North Carolina 1815–1836: State and Local Perspectives on the Age of Jackson" (PhD diss., University of North Carolina at Chapel Hill, 1971), 19–22; Lefler and Newsome, *The History of a Southern State: North Carolina*, 324, 420; Holder, "The Three Banks of the State of North Carolina," 98–105.

18. "Debate, On the Bill proposing the establishment of a Bank, on the Funds of the State," *Raleigh Register*, December 16, 1825; North Carolina General

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms

Assembly, *Journal of the House of Commons* (1823), 178; *ibid.* (1824), 74; and *ibid.* (1825), 154–5.

19. Isaac T. Avery to William B. Lenoir, May 5, 1828, Lenoir Family Papers, SHC; Daniel M. Barringer to Thomas Ruffin, April 7, 1828, in J. G. de Roulhac Hamilton, ed., *The Papers of Thomas Ruffin* (Raleigh: Edwards & Broughton, 1918), I, 441–2; "The Banks," *Western Carolinian* (Salisbury, N.C.), May 6, 1828.

20. For Potter's financial difficulties, see Robert Potter to Willie P. Mangum, April 27, 1824, October 23, 1825, April 26, 1827, and May 24, 1827; H.G. Burton to Willie P. Mangum, November 9, 1825; Chauncey Goodrich to Willie P. Mangum, March 23, 1828; Chauncey Goodrich to E.F. Norton, November 28, 1829, in Henry T. Shanks, ed., *The Papers of Willie Person Mangum* (Raleigh: State Department of Archives and History, 1950), I, 143–363. *See also* Daniel M. McFarland, "Rip Van Winkle: Political Evolution in North Carolina, 1815–1835" (PhD diss., University of Pennsylvania, 1954), 237–58.

21. *Debate on the Bill Directing a Prosecution Against the Several Banks of the State* (1829), 11, 54; William M. Gouge, *A Short History of Paper Money and Banking in the United States* (Philadelphia: T. W. Ustick, 1833), II, 144–50; North Carolina General Assembly, *Journal of the House of Commons* (1828), 258–9. Thomas Jeffrey mischaracterizes Potter's "radical" anti-bank position in *State Parties and National Politics*, 40, 130.

22. *Debate on the Bill for Establishing a Bank of the State* (1830), 9–20, 75–90.

23. North Carolina General Assembly, *Journal of the Senate* (1829), 83–4; ibid., *Journal of the House of Commons* (1829), 270–1; Counihan, "North Carolina 1815–1836: State and Local Perspectives on the Age of Jackson," 115–21; McFarland, "Rip Van Winkle: Political Evolution in North Carolina, 1815–1835," 370–1, 400–3; *An Act to Establish a Bank in the State of North-Carolina, Passed in 1833–34* (Raleigh: J. Gales & Son, 1834). For early North Carolina railroad policies, see Alan D. Watson, *Internal Improvements in Antebellum North Carolina* (Raleigh: North Carolina Office of Archives and History, 2002), 106–27.

24. Andrew Jackson, "First Annual Message," December 8, 1829, Gerhard Peters and John T. Woolley, eds., *The American Presidency Project*, http://www.presidency.ucsb.edu/ws/index.php?pid=29471 (accessed October 19, 2017); *Debate on the Bill for Establishing a Bank of the State* (1830), 19.

25. *Register of Debates*, U.S. House of Representatives, 21st Cong., 1st sess., 921–2; *North-Carolina Free Press* (Tarboro, NC), August 7, 1832. See also the *Western Carolinian* (Salisbury, N.C.), July 30, 1832.

26. For Jackson's electoral history in North Carolina and reaction to the BUS veto, see Albert R. Newsome, *The Presidential Election of 1824 in North Carolina* (Chapel Hill: University of North Carolina Press, 1939); Elizabeth S. Hoyt, "Reactions in North Carolina to Jackson's Banking Policy, 1829–1832," *The North Carolina Historical Review* 25, no. 2 (1948): 167–78; William S. Hoffmann, *Andrew Jackson and North Carolina Politics* (Chapel Hill: University of North Carolina Press, 1958); Jeffrey, *State Parties and National Politics*, 21–48.

27. James Iredell to Willie P. Mangum, February 4, 1832, in Shanks, ed., *The Papers of Willie Person Mangum*, I, 470–3. For the removal of deposits, composition of the Whig Party, and transition of the "original Jackson men" to the Whigs, see Hoffmann, *Andrew Jackson and North Carolina Politics*, 37–80; Marc W. Kruman, *Parties and Politics in North Carolina, 1836–1865* (Baton Rouge: Louisiana State University Press, 1983), 3–54; and Jeffrey, *State Parties and National Politics*, 32–3, 40–8.

28. For the standard political-economic overview of Jacksonian Democracy, see Harry L. Watson, *Liberty and Power: The Politics of Jacksonian America* (New York: Hill and Wang, 1990). Larry Schweikart advances this financial interpretation of both antebellum political parties in *Banking in the American South from the Age of Jackson to Reconstruction* (Baton Rouge: Louisiana State University Press, 1987).

This content downloaded from
132.174.249.220 on Thu, 15 Oct 2026 06:15:25 UTC
All use subject to https://about.jstor.org/terms